



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

HB 2397: homeowners' associations; property covenants; disclosures

BIASIUCCI SUBSTITUTE FLOOR AMENDMENT

1. Removes language which added stipulations for enforcing private covenants.
2. Changes the time frame for submitting the specified information to the purchaser to 10 days after *acceptance of the purchaser's offer to purchase*.
3. Removes the ability of the unit owner to request the required information be provided on listing the unit for sale.
4. Revises the specified information that must be submitted to the purchaser.
5. Includes, to the specified information, a statement notifying the purchaser that the unit is subject to each association's resale disclosure fee, if the unit is governed by multiple associations.
6. Removes the purchaser's ability to propose a cure to address any concerns identified or withdraw the offer without penalty or loss of earnest money after acceptance of the reported information.
7. Specifies all specified information that is submitted to the purchaser must be based on the good faith reliance on association records or information, without the need for independent investigation or validation.
8. Removes the requirement for the association to provide to an escrow agent any required information that is relevant to the close of the escrow at no cost.
9. Strikes language regarding the nominal fee charged to purchasers for updating the new owner information in the association records.
10. Omits the declarant's requirement, for initial sales of a condominium unit from the declarant, to provide to any purchaser the prescribed documents relating to the disclosure report.
11. Removes language relating to mandatory assessment restrictions and emergency spending stipulations for planned communities.
12. Mirrors the revisions made to the Condominium statutes within the Planned Community statutes.
13. Makes clarifying changes.

PAUL BENNY

3/3/2026

(602) 926-3848

BIASIUCCI SUBSTITUTE FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2397

I move the following SUBSTITUTE amendment to the COMMERCE Committee Amendment to HOUSE BILL 2397 (Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.
[Green underlining in brackets] indicates text added to new session law or text restoring existing law.
~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.
~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.
<<Green carets>> indicate a section added to the bill.
~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 <<Section 1. Section 33-440, Arizona Revised Statutes, is amended
3 to read:

4 33-440. ~~Enforceability of private covenants; amendment of~~
5 ~~declaration; definitions~~

6 A. ~~An owner of real property may enter into a private covenant~~
7 ~~regarding that real property and the private covenant is valid and~~
8 ~~enforceable according to its terms if all of the following apply:~~

9 1. ~~The private covenant is not prohibited by any other existing~~
10 ~~private covenant or declaration affecting the real property, and does not~~
11 ~~violate any statute governing the subject matter of the private covenant~~
12 ~~that is in effect before September 26, 2008 AND DOES NOT VIOLATE PUBLIC~~
13 ~~POLICY. COVENANTS THAT VIOLATE PUBLIC POLICY INCLUDE A COVENANT THAT:~~

14 (a) ~~IS ARBITRARY, SPITEFUL OR CAPRICIOUS.~~

15 (b) ~~UNREASONABLY BURDENS A FUNDAMENTAL RIGHT UNDER THE~~
16 ~~CONSTITUTION.~~

17 (c) ~~IMPOSES AN UNREASONABLE RESTRAINT ON ALIENATION OF PROPERTY.~~

18 (d) ~~IMPOSES AN UNREASONABLE RESTRAINT ON TRADE OR COMPETITION.~~

19 (e) ~~IS UNCONSCIONABLE.~~

20 2. ~~The owner of the real property affected by the private covenant~~
21 ~~and any person on whom the private covenant imposes any liability or~~
22 ~~obligation have consented to the private covenant.~~

23 3. ~~Any consent requirements contained in the express provisions of~~
24 ~~any existing private covenant or declaration affecting the real property~~
25 ~~have been met.~~

1 ~~B. NOTWITHSTANDING ANY PROVISION OF A PRIVATE COVENANT TO THE~~
2 ~~CONTRARY, ANY PROPERTY OWNER THAT IS SUBJECT TO THE PRIVATE COVENANT MAY~~
3 ~~CHALLENGE THE VALIDITY OF ANY PROVISION IN THAT PRIVATE COVENANT IN A~~
4 ~~COURT OF COMPETENT JURISDICTION.~~

5 ~~B. C. A private covenant is deemed not to constitute an amendment~~
6 ~~to any existing private covenant or declaration unless the private~~
7 ~~covenant expressly violates an express provision of the existing private~~
8 ~~covenant or declaration.~~

9 ~~C. D. Except during the period of declarant control, or if during~~
10 ~~the period of declarant control with the written consent of the declarant~~
11 ~~in each instance, the following apply to an amendment to a declaration:~~

12 ~~1. The declaration may be amended by the association, if any, or,~~
13 ~~if there is no association or board, the owners of the property that is~~
14 ~~subject to the declaration, by an affirmative vote or written consent of~~
15 ~~the number of owners or eligible voters specified in the declaration,~~
16 ~~including the assent of any individuals or entities that are specified in~~
17 ~~the declaration.~~

18 ~~2. An amendment to a declaration may apply to fewer than all of the~~
19 ~~lots or less than all of the property that is bound by the declaration and~~
20 ~~an amendment is deemed to conform to the general design and plan of the~~
21 ~~community, if both of the following apply:~~

22 ~~(a) The amendment receives the affirmative vote or written consent~~
23 ~~of the number of owners or eligible voters specified in the declaration,~~
24 ~~including the assent of any individuals or entities that are specified in~~
25 ~~the declaration.~~

26 ~~(b) The amendment receives the affirmative vote or written consent~~
27 ~~of all of the owners of the lots or property to which the amendment~~
28 ~~applies.~~

29 ~~3. Within thirty days after the adoption of any amendment pursuant~~
30 ~~to this subsection, the association or, if there is no association or~~
31 ~~board, a property owner that is authorized by the affirmative vote on or~~
32 ~~the written consent to the amendment shall prepare, execute and record a~~
33 ~~written instrument setting forth the amendment.~~

34 ~~4. Notwithstanding any provision in the declaration that provides~~
35 ~~for periodic renewal of the declaration, an amendment to the declaration~~
36 ~~is effective immediately on recordation of the instrument in the county in~~
37 ~~which the property is located.~~

38 ~~D. E. Subsection C D of this section does not apply to a~~
39 ~~condominium as defined in section 33-1202 or a timeshare plan or~~
40 ~~association as defined in section 33-2202.~~

41 ~~E. F. For the purposes of this section:~~

42 ~~1. "Declaration" means any instrument, however denominated, that~~
43 ~~establishes restrictive covenants on the development or use of real~~
44 ~~property.~~

45 ~~2. "Private covenant" means any uniform or nonuniform covenant,~~
46 ~~restriction or condition regarding real property that is contained in any~~

1 ~~deed, contract, agreement or other recorded instrument affecting real~~
2 ~~property.~~

3 ~~3. "SPITEFUL" MEANS THAT THE PURPOSE OF THE COVENANT WAS TO CAUSE~~
4 ~~HARM TO ANOTHER RATHER THAN TO SECURE A BENEFIT TO THE CREATING PARTY.~~

5 ~~4. "UNREASONABLE RESTRAINT ON ALIENATION" MEANS ANY RESTRAINT ON~~
6 ~~ALIENATION TO WHICH EITHER OF THE FOLLOWING APPLIES:~~

7 ~~(a) THE INJURIOUS CONSEQUENCES OF THE RESTRAINT OUTWEIGH THE~~
8 ~~UTILITY OF THE RESTRAINT.~~

9 ~~(b) THE RESTRAINT HAS NO RATIONAL JUSTIFICATION OR IS~~
10 ~~UNCONSCIONABLE.>>~~

11 Section 1. Section 33-1260, Arizona Revised Statutes, is amended to
12 read:

13 33-1260. Sale of units; information required; fees; civil
14 penalty; applicability; definition

15 A. ~~[EXCEPT AS PRESCRIBED BY SUBSECTION I OF THIS SECTION,]~~ For
16 condominiums with fewer than fifty units, a unit owner shall ~~mail~~
17 ELECTRONICALLY TRANSMIT or deliver to a purchaser ~~[or a purchaser's]~~
18 ~~authorized~~ [DESIGNATED] [agent] THE INFORMATION REQUIRED BY THIS
19 SUBSECTION within ten ~~[CALENDAR]~~ days after ~~receipt of a written notice of~~
20 ~~a pending sale of the unit, and~~ ACCEPTANCE OF THE PURCHASER'S OFFER TO
21 PURCHASE. ~~[THE UNIT OWNER MAY REQUEST THE ASSOCIATION TO PROVIDE THE UNIT~~
22 ~~OWNER WITH THE INFORMATION REQUIRED BY THIS SUBSECTION ON LISTING THE UNIT~~
23 ~~FOR SALE.]~~ For condominiums with fifty or more units, the association
24 shall ~~mail~~ ELECTRONICALLY TRANSMIT or deliver to a purchaser ~~[or a~~
25 ~~purchaser's]~~ authorized [DESIGNATED] [agent] within ten [CALENDAR] days
26 after receipt of a written notice of a pending sale that contains the
27 name, EMAIL ADDRESS and MAILING address of the purchaser ~~[OR THE~~
28 PURCHASER'S DESIGNATED AGENT] all of the following in either paper or
29 electronic format:

30 1. A copy of the CURRENT bylaws and the CURRENT rules of the
31 association.

32 2. A copy of the CURRENT RECORDED declaration AND [FINAL] PLAT [OR
33 AN ELECTRONIC COPY OF THE FINAL PLAT, IF AVAILABLE].

34 [3. A COPY OF THE BOARD OF DIRECTORS-APPROVED MINUTES OF ALL OPEN
35 MEETINGS OF THE BOARD OF DIRECTORS FOR THE PREVIOUS THREE MEETINGS.]

36 ~~[3.]~~ [4.] A dated statement containing ~~[OR IDENTIFYING]:~~

37 (a) The telephone number and address of a principal contact for the
38 association, which may be an association manager, an association
39 management company, an officer of the association or any other person
40 designated by the board of directors.

41 (b) The amount of [AND PAYMENT SCHEDULE FOR] the ANNUAL common
42 expense assessment for the unit~~[:]~~ [and] THE [REQUIRED] [REMAINING]
43 INSTALLMENTS AND PAYMENT SCHEDULES ON ANY APPROVED [AND ASSESSED] SPECIAL
44 ASSESSMENT [AND ANY REMAINING INSTALLMENTS ON THE SPECIAL ASSESSMENT], IF
45 ANY.

46 (c) THE [ESTIMATED DOLLAR] AMOUNT AND PURPOSE OF ANY [CONTEMPLATED
47 AND EITHER] [SPECIAL ASSESSMENT] APPROVED [AND RATIFIED OR ANTICIPATED TO

1 ~~BE APPROVED AND RATIFIED~~] [BY THE BOARD OF DIRECTORS BUT NOT YET ASSESSED
2 ~~OR ANY~~] SPECIAL ASSESSMENT [~~OR FINANCING BEING DEVELOPED BY THE~~
3 ~~ASSOCIATION FOR ASSESSMENT~~] [SUBMITTED BY THE BOARD OF DIRECTORS FOR UNIT
4 ~~OWNER APPROVAL~~] WITHIN THE [~~SUBSEQUENT SIX~~] [~~PREVIOUS FOUR~~] MONTHS, IF
5 ANY.

6 (d) ANY KNOWN MATERIAL DEFICIENCY OR CONDITION OF THE LIMITED
7 COMMON ELEMENTS ASSOCIATED WITH THE UNIT OR COMMON ELEMENTS [~~KNOWN BY THE~~
8 ~~ASSOCIATION~~] FOR WHICH THE PURCHASER WILL BE LIABLE FOR THE DIRECTLY
9 ASSESSED REPAIR COSTS WITHIN SIX MONTHS OF THE PURCHASE, IF ANY.

10 (e) THE CURRENT AMOUNT OF any unpaid common expense
11 ~~assessment, special assessment or other assessment, fee or charge~~
12 ~~currently due and payable from the selling unit owner. If the request is~~
13 ~~made by a lienholder, escrow agent, unit owner or person designated by a~~
14 ~~unit owner pursuant to section 33-1256, failure to provide the information~~
15 ~~pursuant to this subdivision within the time provided for in this~~
16 ~~subsection shall extinguish any lien for any unpaid assessment then due~~
17 ~~against that unit~~ LIEN OR JUDGMENT LIEN ON THE UNIT DUE TO THE ASSOCIATION
18 PURSUANT TO SECTION 33-1256 AND ANY LIS PENDENS RECORDED BY THE
19 ASSOCIATION AGAINST THE UNIT.

20 ~~(c) A statement as to whether a portion of the unit is covered by~~
21 ~~insurance maintained by the association.~~

22 ~~(d) The total amount of money held by the association as reserves.~~

23 ~~(e) If the statement is being furnished by the association, a~~
24 ~~statement as to whether the records of the association reflect any~~
25 ~~alterations or improvements to the unit that violate the declaration. The~~
26 ~~association is not obligated to provide information regarding alterations~~
27 ~~or improvements that occurred more than six years before the proposed~~
28 ~~sale. Nothing in this subdivision relieves the seller of a unit from the~~
29 ~~obligation to disclose alterations or improvements to the unit that~~
30 ~~violate the declaration, nor precludes the association from taking action~~
31 ~~against the purchaser of a unit for violations that are apparent at the~~
32 ~~time of purchase and that are not reflected in the association's records.~~

33 ~~(f) If the statement is being furnished by the unit owner, a~~
34 ~~statement as to whether the unit owner has any knowledge of any~~
35 ~~alterations or improvements to the unit that violate the declaration.~~

36 ~~(g) A statement of case names and case numbers for pending~~
37 ~~litigation with respect to the unit filed by the association against the~~
38 ~~unit owner or filed by the unit owner against the association. The unit~~
39 ~~owner or the association shall not be required to disclose information~~
40 ~~concerning the pending litigation that would violate any applicable rule~~
41 ~~of attorney-client privilege under Arizona law.~~

42 ~~(h) A statement that provides "I hereby acknowledge that the~~
43 ~~declaration, bylaws and rules of the association constitute a contract~~
44 ~~between the association and me (the purchaser). By signing this~~
45 ~~statement, I acknowledge that I have read and understand the association's~~
46 ~~contract with me (the purchaser). I also understand that as a matter of~~
47 ~~Arizona law, if I fail to pay my association assessments, the association~~

1 ~~may foreclose on my property." The statement shall also include a~~
2 ~~signature line for the purchaser and shall be returned to the association~~
3 ~~within fourteen calendar days.~~

4 (f) THE AMOUNT AND PURPOSE OF ANY TITLE TRANSFER FEE OR OTHER
5 SIMILAR FEE, HOWEVER DENOMINATED, THAT IS AUTHORIZED IN THE DECLARATION
6 AND ESTABLISHED BY THE ASSOCIATION PURSUANT TO SECTION 33-442.

7 (g) A COPY OF THE ASSOCIATION'S MOST RECENT INCOME AND EXPENSES
8 FINANCIAL STATEMENT FOR ALL OPERATING AND RESERVE ACCOUNTS, AS APPLICABLE.

9 (h) ANY OUTSTANDING AND UNRESOLVED VIOLATION OF THE ASSOCIATION'S
10 CONDOMINIUM DOCUMENTS THAT WAS CITED AGAINST THE UNIT, IF ANY[, ~~AND THAT~~
11 ~~THE SELLER IS RESPONSIBLE FOR APPEALING, RESOLVING OR ARRANGING FOR THE~~
12 ~~RESOLUTION OF ALL CITED VIOLATIONS].~~

13 ~~[4.]~~ [5.] A copy of the current operating budget of the
14 association.

15 ~~[5.]~~ [6.] A copy of the most recent annual ~~financial~~ AUDIT, REVIEW
16 OR COMPILATION report of the association PRESCRIBED BY SECTION 33-1243,
17 SUBSECTION J. If the report is more than ten pages, the association may
18 provide a summary of the report in lieu of the entire report.

19 ~~[6.]~~ [7.] A copy of the most recent reserve study ~~[OR LONG-RANGE~~
20 ~~PLAN AND THE ASSOCIATED FUNDING STRATEGY]~~ of the association, if any. IF
21 THE REPORT IS MORE THAN TEN PAGES, THE ASSOCIATION MAY PROVIDE A SUMMARY
22 OF THE REPORT IN LIEU OF THE ENTIRE REPORT.

23 ~~[7.]~~ [8.] A statement summarizing any pending lawsuits, except
24 those relating to the collection of assessments owed by unit owners other
25 than the selling unit owner, in which the association is a named party,
26 including the amount of any money claimed.

27 ~~[8.]~~ [9.] A STATEMENT AS TO WHETHER A PORTION OF THE UNIT IS
28 COVERED BY INSURANCE MAINTAINED BY THE ASSOCIATION AND A COPY OF ALL
29 INSURANCE CERTIFICATES IDENTIFYING THE COVERAGE LIMITS AND DEDUCTIBLES
30 MAINTAINED BY THE ASSOCIATION PURSUANT TO SECTION 33-1253.

31 ~~[9.]~~ [10.] A STATEMENT AS TO WHETHER THE CONDOMINIUM IS UNDER
32 DECLARANT CONTROL AND THE [APPROXIMATE] PERCENTAGE OF UNITS IDENTIFIED ON
33 THE RECORDED PLAT THAT ARE CURRENTLY OWNED BY THE DECLARANT.

34 ~~[10.]~~ [11.] A STATEMENT IDENTIFYING WHETHER ANY ~~[OWNER OR ENTITY~~
35 ~~OTHER THAN THE DECLARANT]~~ [CORPORATION OR LIMITED LIABILITY COMPANY] OWNS
36 ~~[TWENTY-FIVE]~~ [AND LEASES THIRTY-FIVE] PERCENT OR MORE OF THE UNITS.

37 ~~[11.]~~ [12.] A STATEMENT THAT, FOR ANY REPORT PROVIDED IN SUMMARY
38 FORMAT PURSUANT TO THIS SUBSECTION, THE PURCHASER MAY REQUEST TO VIEW THE
39 ENTIRE REPORT FROM THE ASSOCIATION DIRECTLY, AND THE ASSOCIATION SHALL
40 PROVIDE ACCESS TO THAT REPORT WITHIN ~~[THREE BUSINESS]~~ [TEN] DAYS AFTER A
41 WRITTEN REQUEST.

42 ~~[12.]~~ [13.] A STATEMENT TO BE SIGNED BY THE PURCHASER AT THE CLOSE
43 OF ESCROW THAT PROVIDES "I HEREBY ACKNOWLEDGE THAT WITH THE PURCHASE OF
44 THIS HOME OR PROPERTY, I WILL BE CONTRACTUALLY BOUND TO THE VALID
45 COVENANTS, CONDITIONS AND RESTRICTIONS OF THE RECORDED DECLARATION, AND
46 WILL BE [CONTRACTUALLY] BOUND TO PAY ALL COMMON EXPENSE ASSESSMENTS
47 APPLIED TO MY HOME OR PROPERTY AS AUTHORIZED IN THE DECLARATION AND TITLE

1 33, CHAPTER 9 OR 16, ARIZONA REVISED STATUTES, AS APPLICABLE. IF I FAIL
2 TO PAY COMMON EXPENSE ASSESSMENTS, I MAY BE SUBJECT TO COLLECTION ACTIVITY
3 BY THE ASSOCIATION UP TO AND INCLUDING FORECLOSURE ACTION, WITHOUT THE
4 EQUITY PROTECTION OF THE HOMESTEAD ACT PURSUANT TO TITLE 33, CHAPTER 8,
5 ARIZONA REVISED STATUTES."

6 [14. IF THE UNIT IS GOVERNED BY MULTIPLE ASSOCIATIONS, A STATEMENT
7 NOTIFYING THE PURCHASER THAT THE UNIT IS SUBJECT TO EACH ASSOCIATION'S
8 RESALE DISCLOSURE FEE AUTHORIZED UNDER SUBSECTION D OF THIS SECTION.]

9 ~~[B. WITHIN FIVE CALENDAR DAYS AFTER THE RECEIPT OF THE DISCLOSURE~~
10 ~~REPORT PRESCRIBED BY SUBSECTION A OF THIS SECTION, THE PURCHASER MAY~~
11 ~~ACCEPT THE INFORMATION, PROPOSE A CURE TO ADDRESS ANY CONCERNS IDENTIFIED~~
12 ~~IN THE REPORT OR WITHDRAW THE OFFER WITHOUT PENALTY OR LOSS OF EARNEST~~
13 ~~MONEY. IF A CONTRACT IS CANCELED FOR ANY REASON, THE COMPLETE DISCLOSURE~~
14 ~~REPORT SHALL BE RETURNED TO THE SELLER.]~~

15 [B. ALL INFORMATION THAT IS PROVIDED UNDER SUBSECTION A OF THIS
16 SECTION SHALL BE BASED ON THE GOOD FAITH RELIANCE ON ASSOCIATION RECORDS
17 OR INFORMATION, WITHOUT THE NEED FOR INDEPENDENT INVESTIGATION OR
18 VALIDATION.]

19 ~~B.~~ C. A purchaser or seller who is damaged by ~~the failure of~~ the
20 unit owner or the association [KNOWINGLY OR RECKLESSLY] FAILING to
21 disclose the information required by subsection A of this section OR
22 [KNOWINGLY OR RECKLESSLY] PROVIDING MATERIALLY FALSE OR MISLEADING
23 STATEMENTS IN THE DISCLOSURE may pursue all remedies at law or in equity
24 against the unit owner[, ~~THE MANAGING AGENT FOR THE ASSOCIATION~~] or the
25 association, whichever failed to comply with subsection A of this section
26 ~~[OR PROVIDED FALSE OR MISLEADING STATEMENTS IN THE DISCLOSURE]~~, including
27 the recovery of reasonable attorney fees AS AWARDED BY THE COURT.

28 ~~[D. THE ASSOCIATION SHALL PROVIDE TO AN ESCROW AGENT THAT IS~~
29 ~~LICENSED PURSUANT TO TITLE 6, CHAPTER 7 AND THAT IS DESIGNATED FOR THE~~
30 ~~TRANSACTION ANY REQUESTED INFORMATION THAT IS RELEVANT TO THE CLOSE OF~~
31 ~~ESCROW, SUBJECT TO AND PURSUANT TO SECTION 33-1256 AT NO COST TO THE~~
32 ~~ESCROW AGENT OR ADDITIONAL COST TO THE SELLER OR BUYER.]~~

33 ~~C.~~ [E.] [D.] [IF THE ASSOCIATION PROVIDED THE DISCLOSURE REPORT
34 REQUESTED BY THE UNIT OWNER,] The association may charge the unit owner a
35 fee of not more than an aggregate of ~~four hundred dollars~~ \$400 to
36 compensate the association for the costs incurred in the preparation and
37 delivery of a ~~statement~~ REPORT or other documents furnished by the
38 association pursuant to this section for purposes of resale disclosure,
39 lien estoppel and any other services related to the transfer or use of the
40 property. In addition, the association may charge a rush fee of not more
41 than ~~one hundred dollars~~ \$100 if the rush services are required to be
42 performed within seventy-two hours after the request for rush services.
43 ~~, and~~ THE UNIT OWNER may REQUEST THE ASSOCIATION TO UPDATE THE REPORT IF
44 THIRTY DAYS OR MORE HAVE PASSED SINCE THE DATE OF THE ORIGINAL DISCLOSURE
45 REPORT. THE ASSOCIATION MAY charge a ~~statement or other documents~~
46 DOCUMENT update fee of not more than ~~fifty dollars if thirty days or more~~
47 ~~have passed since the date of the original disclosure statement or the~~

1 ~~date the documents were delivered~~ \$50. The association shall make
2 available to any interested party the amount of any fee established from
3 time to time by the association. ~~If the aggregate fee for purposes of~~
4 ~~resale disclosure, lien estoppel and any other services related to the~~
5 ~~transfer or use of a property is less than four hundred dollars on January~~
6 ~~1, 2010, the fee may increase at a rate of not more than twenty percent~~
7 ~~per year based on the immediately preceding fiscal year's amount not to~~
8 ~~exceed the four hundred dollar aggregate fee.~~ The association may charge
9 the same fee without regard to whether the association is furnishing the
10 statement or other documents in paper or electronic format.

11 ~~[F. IF THE ASSOCIATION WAS NOT REQUESTED TO PROVIDE THE DISCLOSURE~~
12 ~~REPORT PRESCRIBED BY SUBSECTION A OF THIS SECTION, THE ASSOCIATION MAY~~
13 ~~CHARGE A NOMINAL FEE TO THE PURCHASER TO COMPENSATE THE ASSOCIATION FOR~~
14 ~~THE COST OF UPDATING THE NEW OWNER INFORMATION IN THE ASSOCIATION RECORDS,~~
15 ~~COMMENSURATE WITH THE DIRECT COST INCURRED.]~~

16 ~~D.~~ ~~[G.]~~ ~~[E.]~~ The fees prescribed by this section shall be
17 collected ~~no~~ NOT earlier than at the close of escrow and may only be
18 charged once to a unit owner OR PURCHASER for that transaction between the
19 parties ~~specified in the notice required pursuant to subsection A of this~~
20 ~~section.~~ ~~[ANY PAYMENT SHALL BE MADE DIRECTLY AND ONLY TO THE~~
21 ~~ASSOCIATION.]~~ An association shall not charge or collect a fee relating
22 to services for resale disclosure, lien estoppel and any other services
23 related to the transfer or use of a property except as specifically
24 authorized in this section. An association that charges or collects a fee
25 in violation of this section is subject to a civil penalty of not more
26 than ~~one thousand two hundred dollars~~ \$1,200.

27 ~~E.~~ ~~[H.]~~ ~~[F.]~~ This section applies to a managing agent for an
28 association that is acting on behalf of the association.

29 ~~[I. FOR THE INITIAL SALE OF A CONDOMINIUM UNIT FROM THE DECLARANT,~~
30 ~~THE DECLARANT SHALL PROVIDE TO ANY PURCHASER WITHIN THE TIME PRESCRIBED BY~~
31 ~~SUBSECTION A OF THIS SECTION THE DOCUMENTS PRESCRIBED IN SUBSECTION A,~~
32 ~~PARAGRAPHS 1, 2 AND 12 OF THIS SECTION.]~~

33 ~~F.~~ ~~[J.]~~ ~~[G.]~~ The following are exempt from this section:

34 1. A sale in which a public report is issued pursuant to section
35 32-2183 or 32-2197.02.

36 2. A sale pursuant to section 32-2181.02.

37 3. A conveyance by recorded deed that bears an exemption listed in
38 section 11-1134, subsection B, paragraph 3 or 7. On recordation of the
39 deed ~~and for no additional charge~~, the ~~unit owner~~ PURCHASER shall provide
40 the association with the changes in ownership, including the unit owner's
41 name, billing address and phone number. Failure to provide the
42 information shall not prevent the unit owner from qualifying for the
43 exemption pursuant to this section.

44 ~~G.~~ ~~[K.]~~ ~~[H.]~~ This section does not apply to timeshare plans or
45 associations that are subject to chapter 20 of this title.

46 ~~H.~~ ~~[L.]~~ ~~[I.]~~ For the purposes of this section, unless the context
47 otherwise requires, "unit owner":

1 1. Means the seller of the condominium unit title. ~~and excludes~~

2 2. DOES NOT INCLUDE:

3 (a) Any real estate salesperson or real estate broker who is
4 licensed under title 32, chapter 20 and who is acting as a salesperson or
5 broker. ~~;~~

6 (b) Any escrow agent who is licensed under title 6, chapter 7 and
7 who is acting as an escrow agent. ~~and also excludes~~

8 (c) A trustee of a deed of trust who is selling the property in a
9 trustee's sale pursuant to chapter 6.1 of this title.

10 <<Sec. 3. Section 33-1802, Arizona Revised Statutes, is amended to
11 read:

12 33-1802. Definitions

13 In this chapter and in the community documents, unless the context
14 otherwise requires:

15 1. "Association":

16 (a) Means a nonprofit corporation or unincorporated association of
17 owners that is created pursuant to a declaration to own and operate
18 portions of a planned community and that has the power under the
19 declaration to assess association members to pay the costs and expenses
20 incurred in the performance of the association's obligations under the
21 declaration.

22 (b) Does not include a nonprofit corporation or unincorporated
23 association of owners that is created or incorporated before January 1,
24 1974 and that does not have authority to enforce covenants, conditions or
25 restrictions related to the use, occupancy or appearance of the separately
26 owned lots, parcels or units in a real estate development, unless the
27 nonprofit corporation or unincorporated association of owners elects to be
28 subject to this chapter pursuant to section 33-1801, subsection D.

29 2. "Common expense lien" means the lien for assessments, charges
30 for late payment of assessments if authorized in the declaration,
31 reasonable collection fees and costs THAT ARE incurred or applied by the
32 association and reasonable attorney fees and costs that are incurred with
33 respect to those assessments, if the attorney fees and costs are awarded
34 by a court.

35 3. "Community documents" means the declaration, bylaws, articles of
36 incorporation, if any, and rules, if any.

37 4. "Declaration" means any instruments, however denominated, that
38 establish a planned community and any amendment to those instruments.

39 5. "MEMBER" MEANS THE OWNER OF RECORD OF ANY INDIVIDUALLY OWNED
40 PROPERTY THAT IS SUBJECT TO THE DECLARATION IN A PLANNED COMMUNITY.

41 5. 6. "Member expenses":

42 (a) Means fees, charges, late charges and monetary penalties or
43 interest.

44 (b) Does not include any amount that is included in a common
45 expense lien.

46 6. 7. "Planned community":

1 ~~(a) Means a real estate development that includes real estate THAT~~
2 ~~IS SUBJECT TO A DECLARATION AND THAT IS owned and operated by or real~~
3 ~~estate on which an easement to maintain roadways or a covenant to maintain~~
4 ~~roadways is held by a nonprofit corporation or unincorporated association~~
5 ~~of owners, that is created for the purpose of managing, maintaining or~~
6 ~~improving the property and in which the declaration expressly states both~~
7 ~~that the owners of separately owned lots, parcels or units are mandatory~~
8 ~~members and that the owners are required to pay MANDATORY assessments to~~
9 ~~the association for these purposes.~~

10 ~~(b) Does not include any of the following:~~

11 ~~(i) A timeshare plan or a timeshare association that is governed by~~
12 ~~chapter 20 of this title.~~

13 ~~(ii) A condominium that is governed by chapter 9 of this title.~~

14 ~~(iii) A real estate development that is not managed or maintained~~
15 ~~by an association.>>~~

16 ~~<<Sec. 4. Section 33-1803, Arizona Revised Statutes, is amended to~~
17 ~~read:~~

18 ~~33-1803. Third-party property; voluntary assessments;~~
19 ~~assessment limitation; penalties; notice to member~~
20 ~~of violation~~

21 ~~A. ANY PROVISION OF A DECLARATION THAT WOULD IMPOSE MANDATORY~~
22 ~~ASSESSMENTS FOR MEMBERSHIP IN A PRIVATE RECREATIONAL CLUB OR FOR THE~~
23 ~~MAINTENANCE OR USE OF SEPARATE PUBLIC OR PRIVATE PROPERTY THAT IS NOT~~
24 ~~OWNED BY THE ASSOCIATION IS INVALID AND UNENFORCEABLE AS A MATTER OF LAW.~~
25 ~~ANY PROVISION PRESCRIBED BY THIS SUBSECTION CREATES BOTH AN UNREASONABLE~~
26 ~~RESTRAINT ON ALIENATION AND AN UNREASONABLE RESTRAINT ON TRADE OR~~
27 ~~COMPETITION AND THE FOLLOWING APPLY:~~

28 ~~1. ON THE EFFECTIVE DATE OF THIS AMENDMENT TO THIS SECTION, THE~~
29 ~~BOARD OF DIRECTORS OF ANY ASSOCIATION THAT HAS A DECLARATION THAT CONTAINS~~
30 ~~SUCH A PROVISION SHALL REMOVE THAT PROVISION BY AMENDMENT TO THE~~
31 ~~DECLARATION.~~

32 ~~2. NOTWITHSTANDING ANY PROVISION OF THE COMMUNITY DOCUMENTS, THE~~
33 ~~ASSOCIATION MAY NOT USE COMMON EXPENSE ASSESSMENTS FOR THE MAINTENANCE,~~
34 ~~USE OR SUBSIDY OF THIRD-PARTY PUBLIC OR PRIVATE PROPERTY THAT IS NOT~~
35 ~~DIRECTLY OWNED BY THE ASSOCIATION.~~

36 ~~B. IF EMERGENCY MEASURES MUST BE TAKEN WITH RESPECT TO THIRD-PARTY~~
37 ~~PUBLIC OR PRIVATE PROPERTY TO MAINTAIN ACCESS TO THE ASSOCIATION'S~~
38 ~~PROPERTY, THE ASSOCIATION MAY AUTHORIZE THE USE OF ASSOCIATION RESOURCES~~
39 ~~OR MONIES TO EFFECT THE EMERGENCY REPAIRS, BUT SHALL BILL THE PUBLIC OR~~
40 ~~PRIVATE ENTITY THAT OWNS THE SEPARATE PROPERTY FOR THE COSTS OF THE~~
41 ~~REPAIRS.~~

42 ~~C. THE ASSOCIATION MAY PROVIDE FOR VOLUNTARY ASSESSMENTS ON~~
43 ~~INDIVIDUAL PROPERTY FOR THE USE OF THIRD-PARTY PROPERTY, RECREATIONAL~~
44 ~~FACILITIES OR OTHER FACILITIES.~~

45 ~~A. D. Unless limitations in the community documents would result~~
46 ~~in a lower limit for the assessment, the association shall not impose a~~
47 ~~regular assessment that is more than twenty percent greater than the~~

~~1 immediately preceding fiscal year's assessment without the approval of the
2 majority of the members of the association. Unless reserved to the
3 members of the association, the board of directors may impose reasonable
4 charges for the late payment of assessments. A payment by a member is
5 deemed late if it is unpaid fifteen or more days after its due date,
6 unless the community documents provide for a longer period. Charges for
7 the late payment of assessments are limited to the greater of fifteen
8 dollars \$15 or ten percent of the amount of the unpaid assessment and may
9 be imposed only after the association has provided notice that the
10 assessment is overdue or provided notice that the assessment is considered
11 overdue after a certain date. Any monies paid by the member for an unpaid
12 assessment shall be applied first to the principal amount unpaid and then
13 to the interest accrued.~~

~~14 B. E. After notice and an opportunity to be heard, the board of
15 directors may impose reasonable monetary penalties on members for
16 violations of the declaration, bylaws and rules of the
17 association. Notwithstanding any provision in the community documents,
18 the board of directors shall not impose a charge for a late payment of a
19 penalty that exceeds the greater of fifteen dollars \$15 or ten percent of
20 the amount of the unpaid penalty. A payment is deemed late if it is
21 unpaid fifteen or more days after its due date, unless the declaration,
22 bylaws or rules of the association provide for a longer period. Any
23 monies paid by a member for an unpaid penalty shall be applied first to
24 the principal amount unpaid and then to the interest accrued. Notice
25 pursuant to this subsection shall include information pertaining to the
26 manner in which the penalty shall be enforced.~~

~~27 C. F. A member who receives a written notice that the condition of
28 the property owned by the member is in violation of the community
29 documents without regard to whether a monetary penalty is imposed by the
30 notice may provide the association with a written response by sending the
31 response by certified mail within twenty-one calendar days after the date
32 of the notice. The response shall be sent to the address identified in
33 the notice.~~

~~34 D. G. Within ten business days after receipt of the certified mail
35 containing the response from the member, the association shall respond to
36 the member with a written explanation regarding the notice that shall
37 provide at least the following information unless previously provided in
38 the notice of violation:~~

~~39 1. The provision of the community documents that has allegedly been
40 violated.~~

~~41 2. The date of the violation or the date the violation was
42 observed.~~

~~43 3. The first and last name of the person or persons who observed
44 the violation.~~

~~45 4. The process the member must follow to contest the notice.~~

~~46 E. H. Unless the information required in subsection D G,
47 paragraph 4 of this section is provided in the notice of violation, the~~

1 ~~association shall not proceed with any action to enforce the community~~
2 ~~documents, including the collection of attorney fees, before or during the~~
3 ~~time prescribed by subsection D of this section regarding the exchange~~
4 ~~of information between the association and the member and shall give the~~
5 ~~member written notice of the member's option to petition for an~~
6 ~~administrative hearing on the matter in the state real estate department~~
7 ~~pursuant to section 32-2199.01. At any time before or after completion of~~
8 ~~the exchange of information pursuant to this section, the member may~~
9 ~~petition for a hearing pursuant to section 32-2199.01 if the dispute is~~
10 ~~within the jurisdiction of the state real estate department as prescribed~~
11 ~~in section 32-2199.01.>>~~

12 Sec. 2. Section 33-1806, Arizona Revised Statutes, is amended to
13 read:

14 33-1806. Sale of properties; information required; fees;
15 civil penalty; definition

16 A. ~~[EXCEPT AS PRESCRIBED BY SUBSECTION I OF THIS SECTION,]~~ For
17 planned communities with fewer than fifty ~~units~~ PROPERTIES, a member shall
18 ~~mail~~ ELECTRONICALLY TRANSMIT or deliver to a purchaser ~~[or a purchaser's]~~
19 ~~authorized~~ [DESIGNATED] [agent] THE INFORMATION REQUIRED BY THIS
20 SUBSECTION within ten ~~[CALENDAR]~~ days after ~~receipt of a written notice of~~
21 ~~a pending sale of the unit, and~~ ACCEPTANCE OF THE PURCHASER'S OFFER TO
22 PURCHASE. [THE MEMBER MAY REQUEST THE ASSOCIATION TO PROVIDE THE MEMBER
23 WITH THE INFORMATION REQUIRED BY THIS SUBSECTION ON LISTING THE MEMBER'S
24 PROPERTY FOR SALE.] For planned communities with fifty or more ~~units~~
25 PROPERTIES, the association shall ~~mail~~ ELECTRONICALLY TRANSMIT or deliver
26 to a purchaser ~~[or a purchaser's]~~ authorized [DESIGNATED] [agent] within
27 ten ~~[CALENDAR]~~ days after receipt of a written notice of a pending sale
28 that contains the name, EMAIL ADDRESS and MAILING address of the purchaser
29 [OR THE PURCHASER'S DESIGNATED AGENT] all of the following in either paper
30 or electronic format:

31 1. A copy of the CURRENT bylaws and the CURRENT rules of the
32 association.

33 2. A copy of the CURRENT declaration AND [FINAL] PLAT [OR AN
34 ELECTRONIC COPY OF THE FINAL PLAT, IF AVAILABLE].

35 [3. A COPY OF THE BOARD-APPROVED MINUTES OF ALL OPEN MEETINGS OF
36 THE BOARD OF DIRECTORS FOR THE PREVIOUS THREE MEETINGS.]

37 [3.] [4.] A dated statement containing [OR IDENTIFYING]:

38 (a) The telephone number and address of a principal contact for the
39 association, which may be an association manager, an association
40 management company, an officer of the association or any other person
41 designated by the board of directors.

42 (b) The amount of [AND PAYMENT SCHEDULE FOR] the ANNUAL common
43 regular assessment and the [REQUIRED] [REMAINING] INSTALLMENTS AND PAYMENT
44 SCHEDULES ON ANY APPROVED [AND ASSESSED] SPECIAL ASSESSMENT [AND ANY
45 REMAINING INSTALLMENTS ON THE SPECIAL ASSESSMENT], IF ANY.

1 (c) THE ~~[ESTIMATED DOLLAR]~~ AMOUNT AND PURPOSE OF ANY ~~[CONTEMPLATED,~~
2 ~~AND EITHER]~~ ~~[SPECIAL ASSESSMENT]~~ APPROVED ~~[AND RATIFIED OR ANTICIPATED TO~~
3 ~~BE APPROVED AND RATIFIED]~~ ~~[BY THE BOARD OF DIRECTORS BUT NOT YET ASSESSED~~
4 ~~OR ANY]~~ SPECIAL ASSESSMENT ~~[OR FINANCING BEING DEVELOPED BY THE~~
5 ~~ASSOCIATION FOR ASSESSMENT]~~ ~~[SUBMITTED BY THE BOARD FOR MEMBER APPROVAL]~~
6 WITHIN THE ~~[SUBSEQUENT SIX]~~ ~~[PREVIOUS FOUR]~~ MONTHS, IF ANY.

7 (d) THE CURRENT AMOUNT OF ANY unpaid common regular
8 assessment, ~~special assessment or other assessment, fee or charge~~
9 ~~currently due and payable from the selling member. If the request is made~~
10 ~~by a lienholder, escrow agent, member or person designated by a member~~
11 ~~pursuant to section 33-1807, failure to provide the information pursuant~~
12 ~~to this subdivision within the time provided for in this subsection shall~~
13 ~~extinguish any lien for any unpaid assessment then due against that~~
14 ~~property~~ LIEN OR JUDGMENT LIEN ON THE PROPERTY DUE TO THE ASSOCIATION
15 PURSUANT TO SECTION 33-1807 AND ANY LIS PENDENS RECORDED BY THE
16 ASSOCIATION AGAINST THE PROPERTY.

17 ~~(c) A statement as to whether a portion of the unit is covered by~~
18 ~~insurance maintained by the association.~~

19 ~~(d) The total amount of money held by the association as reserves.~~

20 ~~(e) If the statement is being furnished by the association, a~~
21 ~~statement as to whether the records of the association reflect any~~
22 ~~alterations or improvements to the unit that violate the declaration. The~~
23 ~~association is not obligated to provide information regarding alterations~~
24 ~~or improvements that occurred more than six years before the proposed~~
25 ~~sale. Nothing in this subdivision relieves the seller of a unit from the~~
26 ~~obligation to disclose alterations or improvements to the unit that~~
27 ~~violate the declaration, nor precludes the association from taking action~~
28 ~~against the purchaser of a unit for violations that are apparent at the~~
29 ~~time of purchase and that are not reflected in the association's records.~~

30 ~~(f) If the statement is being furnished by the member, a statement~~
31 ~~as to whether the member has any knowledge of any alterations or~~
32 ~~improvements to the unit that violate the declaration.~~

33 ~~(g) A statement of case names and case numbers for pending~~
34 ~~litigation with respect to the unit filed by the association against the~~
35 ~~member or filed by the member against the association. The member shall~~
36 ~~not be required to disclose information concerning such pending litigation~~
37 ~~that would violate any applicable rule of attorney-client privilege under~~
38 ~~Arizona law.~~

39 ~~(h) A statement that provides "I hereby acknowledge that the~~
40 ~~declaration, bylaws and rules of the association constitute a contract~~
41 ~~between the association and me (the purchaser). By signing this~~
42 ~~statement, I acknowledge that I have read and understand the association's~~
43 ~~contract with me (the purchaser). I also understand that as a matter of~~
44 ~~Arizona law, if I fail to pay my association assessments, the association~~
45 ~~may foreclose on my property."~~ The statement shall also include a
46 signature line for the purchaser and shall be returned to the association
47 within fourteen calendar days.

1 (e) THE AMOUNT AND PURPOSE OF ANY TITLE TRANSFER FEE OR OTHER
2 SIMILAR FEE, HOWEVER DENOMINATED, THAT IS AUTHORIZED IN THE DECLARATION
3 AND ESTABLISHED BY THE ASSOCIATION PURSUANT TO SECTION 33-442.

4 (f) A COPY OF THE ASSOCIATION'S MOST RECENT INCOME AND EXPENSES
5 FINANCIAL STATEMENT FOR ALL OPERATING AND RESERVE ACCOUNTS, AS APPLICABLE.

6 (g) ANY OUTSTANDING AND UNRESOLVED VIOLATION OF THE ASSOCIATION'S
7 COMMUNITY DOCUMENTS THAT WAS CITED AGAINST THE PROPERTY, IF ANY[, AND THAT
8 THE SELLER IS RESPONSIBLE FOR APPEALING, RESOLVING OR ARRANGING FOR THE
9 RESOLUTION OF ALL CITED VIOLATIONS].

10 ~~[4.]~~ [5.] A copy of the current operating budget of the
11 association.

12 ~~[5.]~~ [6.] A copy of the most recent annual ~~financial~~ AUDIT, REVIEW
13 OR ~~[COMPILED]~~ [COMPILED] report of the association PURSUANT TO
14 SECTION 33-1810. If the report is more than ten pages, ~~the association~~
15 ~~may provide~~ a summary of the report ~~in lieu~~ MAY BE PROVIDED IN PLACE of
16 the entire report.

17 ~~[6.]~~ [7.] A copy of the most recent reserve study ~~[OR LONG-RANGE~~
18 ~~PLAN AND ASSOCIATED FUNDING STRATEGY]~~ of the association, if any. IF THE
19 REPORT IS MORE THAN TEN PAGES, THE ASSOCIATION MAY PROVIDE A SUMMARY OF
20 THE REPORT IN PLACE OF THE ENTIRE REPORT.

21 ~~[7.]~~ [8.] A statement summarizing any pending lawsuits, except
22 those relating to the collection of assessments owed by members other than
23 the selling member, in which the association is a named party, including
24 the amount of any money claimed.

25 ~~[8.]~~ [9.] A STATEMENT AS TO WHETHER THE PLANNED COMMUNITY IS UNDER
26 DECLARANT CONTROL AND THE [APPROXIMATE] PERCENTAGE OF LOTS IDENTIFIED ON
27 THE RECORDED PLAT THAT ARE CURRENTLY OWNED BY THE DECLARANT.

28 ~~[9.]~~ [10.] A STATEMENT THAT, FOR ANY REPORT PROVIDED IN SUMMARY
29 FORMAT PURSUANT TO THIS SUBSECTION, THE PURCHASER MAY REQUEST TO VIEW THE
30 ENTIRE REPORT FROM THE ASSOCIATION DIRECTLY, AND THE ASSOCIATION SHALL
31 PROVIDE ACCESS TO THAT REPORT WITHIN ~~[THREE BUSINESS]~~ [TEN] DAYS AFTER A
32 WRITTEN REQUEST.]

33 ~~[10.]~~ [11.] A STATEMENT TO BE SIGNED BY THE PURCHASER AT THE CLOSE
34 OF ESCROW THAT PROVIDES "I HEREBY ACKNOWLEDGE THAT WITH THE PURCHASE OF
35 THIS HOME OR PROPERTY, I WILL BE CONTRACTUALLY BOUND TO THE VALID
36 COVENANTS, CONDITIONS AND RESTRICTIONS OF THE RECORDED DECLARATION, AND
37 WILL BE [CONTRACTUALLY] BOUND TO PAY ALL COMMON EXPENSE ASSESSMENTS
38 APPLIED TO MY HOME OR PROPERTY AS AUTHORIZED IN THE DECLARATION AND TITLE
39 33, CHAPTER 9 OR 16, ARIZONA REVISED STATUTES, AS APPLICABLE. IF I FAIL
40 TO PAY COMMON EXPENSE ASSESSMENTS, I MAY BE SUBJECT TO COLLECTION ACTIVITY
41 BY THE ASSOCIATION UP TO AND INCLUDING FORECLOSURE ACTION, WITHOUT THE
42 EQUITY PROTECTION OF THE HOMESTEAD ACT PURSUANT TO TITLE 33, CHAPTER 8,
43 ARIZONA REVISED STATUTES."

44 [12. IF THE PROPERTY IS GOVERNED BY MULTIPLE ASSOCIATIONS, A
45 STATEMENT NOTIFYING THE PURCHASER THAT THE PROPERTY IS SUBJECT TO EACH
46 ASSOCIATION'S RESALE DISCLOSURE FEE AUTHORIZED UNDER SUBSECTION D OF THIS
47 SECTION.]

1 ~~[B. WITHIN FIVE CALENDAR DAYS AFTER THE RECEIPT OF THE DISCLOSURE~~
2 ~~REPORT PRESCRIBED BY SUBSECTION A OF THIS SECTION, THE PURCHASER MAY~~
3 ~~ACCEPT THE INFORMATION, PROPOSE A CURE TO ADDRESS ANY CONCERNS IDENTIFIED~~
4 ~~IN THE REPORT OR WITHDRAW THE OFFER WITHOUT PENALTY OR LOSS OF EARNEST~~
5 ~~MONEY. IF A CONTRACT IS CANCELED FOR ANY REASON, THE COMPLETE DISCLOSURE~~
6 ~~REPORT SHALL BE RETURNED TO THE SELLER.]~~
7 ~~[B. ALL INFORMATION THAT IS PROVIDED UNDER SUBSECTION A OF THIS~~
8 ~~SECTION SHALL BE BASED ON THE GOOD FAITH RELIANCE ON ASSOCIATION RECORDS~~
9 ~~OR INFORMATION, WITHOUT THE NEED FOR INDEPENDENT INVESTIGATION OR~~
10 ~~VALIDATION.]~~
11 ~~B. C.~~ A purchaser or seller who is damaged by ~~the failure of~~ the
12 member or the association ~~[KNOWINGLY OR RECKLESSLY]~~ ~~FAILING~~ to disclose
13 the information required by subsection A of this section ~~OR [KNOWINGLY OR~~
14 ~~RECKLESSLY]~~ ~~PROVIDING MATERIALLY FALSE OR MISLEADING STATEMENTS IN THE~~
15 ~~DISCLOSURE~~ may pursue all remedies at law or in equity against the
16 member~~[, THE MANAGING AGENT FOR THE ASSOCIATION]~~ or the association,
17 whichever failed to comply with subsection A of this section ~~[OR PROVIDED~~
18 ~~MATERIALLY FALSE OR MISLEADING STATEMENTS IN THE DISCLOSURE]~~, including
19 the recovery of reasonable attorney fees ~~AS AWARDED BY THE COURT.~~
20 ~~[D. THE ASSOCIATION SHALL PROVIDE TO AN ESCROW AGENT THAT IS~~
21 ~~LICENSED PURSUANT TO TITLE 6, CHAPTER 7 AND THAT IS DESIGNATED FOR THE~~
22 ~~TRANSACTION ANY REQUESTED INFORMATION THAT IS RELEVANT TO THE CLOSE OF~~
23 ~~ESCROW, SUBJECT TO AND PURSUANT TO SECTION 33-1807 AT NO COST TO THE~~
24 ~~ESCROW AGENT OR ADDITIONAL COST TO THE SELLER OR BUYER.]~~
25 ~~C. [E.] [D.] [IF THE ASSOCIATION PROVIDED THE DISCLOSURE REPORT~~
26 ~~REQUESTED BY THE MEMBER,]~~ The association may charge the member a fee of
27 not more than an aggregate of ~~four hundred dollars~~ \$400 to compensate the
28 association for the costs incurred in the preparation and delivery of a
29 ~~statement~~ ~~REPORT~~ or other documents furnished by the association pursuant
30 to this section for purposes of resale disclosure, lien estoppel and any
31 other services related to the transfer or use of the property. In
32 addition, the association may charge a rush fee of not more than ~~one~~
33 ~~hundred dollars~~ \$100 if the rush services are required to be performed
34 within seventy-two hours after the request for rush services. ~~, and THE~~
35 ~~MEMBER~~ may ~~REQUEST THE ASSOCIATION TO UPDATE THE REPORT IF THIRTY DAYS OR~~
36 ~~MORE HAVE PASSED SINCE THE DATE OF THE ORIGINAL DISCLOSURE REPORT. THE~~
37 ~~ASSOCIATION MAY~~ charge a ~~statement or other documents~~ ~~DOCUMENT~~ update fee
38 of not more than ~~fifty dollars if thirty days or more have passed since~~
39 ~~the date of the original disclosure statement or the date the documents~~
40 ~~were delivered~~ \$50. The association shall make available to any
41 interested party the amount of any fee established from time to time by
42 the association. ~~If the aggregate fee for purposes of resale disclosure,~~
43 ~~lien estoppel and any other services related to the transfer or use of a~~
44 ~~property is less than four hundred dollars on January 1, 2010, the fee may~~
45 ~~increase at a rate of not more than twenty percent per year based on the~~
46 ~~immediately preceding fiscal year's amount not to exceed the four hundred~~
47 ~~dollar aggregate fee.~~ The association may charge the same fee without

1 regard to whether the association is furnishing the statement or other
2 documents in paper or electronic format.

3 ~~[F. IF THE ASSOCIATION WAS NOT REQUESTED TO PROVIDE THE DISCLOSURE~~
4 ~~REPORT PRESCRIBED BY SUBSECTION A OF THIS SECTION, THE ASSOCIATION MAY~~
5 ~~CHARGE A NOMINAL FEE TO THE PURCHASER TO COMPENSATE THE ASSOCIATION FOR~~
6 ~~THE COST OF UPDATING THE NEW OWNER INFORMATION IN THE ASSOCIATION RECORDS,~~
7 ~~COMMENSURATE WITH THE DIRECT COST INCURRED.]~~

8 ~~D.~~ ~~[G.]~~ ~~[E.]~~ The fees prescribed by this section shall be
9 collected ~~no~~ NOT earlier than at the close of escrow and may only be
10 charged once to a member OR PURCHASER for that transaction between the
11 parties ~~specified in the notice required pursuant to subsection A of this~~
12 ~~section. [ANY PAYMENT SHALL BE MADE DIRECTLY AND ONLY TO THE~~
13 ~~ASSOCIATION.]~~ An association shall not charge or collect a fee relating
14 to services for resale disclosure, lien estoppel and any other services
15 related to the transfer or use of a property except as specifically
16 authorized in this section. An association that charges or collects a fee
17 in violation of this section is subject to a civil penalty of not more
18 than ~~one thousand two hundred dollars~~ \$1,200.

19 ~~E.~~ ~~[H.]~~ ~~[F.]~~ This section applies to a managing agent for an
20 association that is acting on behalf of the association.

21 ~~[I. FOR THE INITIAL SALE OF A PROPERTY FROM THE DECLARANT, THE~~
22 ~~DECLARANT SHALL PROVIDE TO ANY PURCHASER WITHIN THE TIME PRESCRIBED BY~~
23 ~~SUBSECTION A OF THIS SECTION THE DOCUMENTS PRESCRIBED IN SUBSECTION A,~~
24 ~~PARAGRAPHS 1, 2 AND 10.]~~

25 ~~F.~~ ~~[J.]~~ ~~[G.]~~ The following are exempt from this section:

26 1. A sale in which a public report is issued pursuant to section
27 32-2183 or 32-2197.02.

28 2. A sale pursuant to section 32-2181.02.

29 3. A conveyance by recorded deed that bears an exemption listed in
30 section 11-1134, subsection B, paragraph 3 or 7. On recordation of the
31 deed ~~and for no additional charge~~, the ~~member~~ PURCHASER shall provide the
32 association with the changes in ownership, including the member's name,
33 billing address and phone number. Failure to provide the information
34 shall not prevent the member from qualifying for the exemption pursuant to
35 this section.

36 ~~G.~~ ~~[K.]~~ ~~[H.]~~ For the purposes of this section, unless the context
37 otherwise requires ~~[L.]~~ ~~[I.]~~

38 ~~1. "ASSOCIATION" INCLUDES ANY MASTER AND LOCAL ASSOCIATION WITH~~
39 ~~RECORDED COVENANTS AFFECTING THE PROPERTY, AS APPLICABLE.~~

40 ~~2.]~~ "Member":

41 ~~[(a)]~~ ~~[1.]~~ Means the seller of the ~~unit~~ PROPERTY title. ~~and~~
42 ~~excludes~~

1 ~~[(b)]~~ ~~[2.]~~ DOES NOT INCLUDE:

2 ~~[(a)]~~ ~~[(a)]~~ Any real estate salesperson or real estate broker who
3 is licensed under title 32, chapter 20 and who is acting as a salesperson
4 or broker. ~~,~~

5 ~~[(b)]~~ ~~[(b)]~~ Any escrow agent who is licensed under title 6,
6 chapter 7 and who is acting as an escrow agent. ~~and also excludes~~

7 ~~[(c)]~~ ~~[(c)]~~ A trustee of a deed of trust who is selling the
8 property in a trustee's sale pursuant to chapter 6.1 of this title.

9 Enroll and engross to conform

10 Amend title to conform

LEO BIASIUCCI

~~2397FloorBIASIUCI1.docx~~

~~03/02/2026~~

~~06:15 PM~~

~~C: MR~~

~~130MCLMFL~~

2397FloorBIASIUCI3.docx

03/03/2026

09:08 AM

H: PB/l's

130MCLMFL